

MERIDIAN FABTECH INDUSTRIES PRIVATE LIMITED

CIN: U29100MH2015PTC271034 | PAN: AABCM4521F
Plot No. 45, MIDC Industrial Area, Andheri (East), Mumbai – 400093, Maharashtra, India

SAMPLE / SPECIMEN DOCUMENT — FOR PIPELINE TESTING ONLY. Company, persons, GSTINs, DINs, and figures are fictitious and do not represent any real entity.

COST-SHARING AGREEMENT

Meridian FabTech Industries Pvt Ltd — Meridian Precision Components Pvt Ltd

THIS COST-SHARING AGREEMENT ("Agreement") is entered into on 1 April 2023, effective from Financial Year 2023-24, between Meridian FabTech Industries Private Limited ("Head Office") and its group entity Meridian Precision Components Private Limited ("Group Company").

1. Background

The Head Office incurs common costs on behalf of itself and the Group Company for centralised functions including IT infrastructure, ERP licensing, human resources administration, and statutory audit coordination. This Agreement documents the basis of allocation of such common costs in accordance with CBIC Circular No. 159/15/2021-GST dated 20 September 2021.

2. Costs Covered

- Enterprise IT infrastructure and SAP ERP licence fees
- Shared HR administration and payroll processing costs
- Common insurance premium (Directors & Officers, general liability)
- Statutory audit coordination fees payable to Deshpande & Vora, Chartered Accountants

3. Basis of Allocation

Costs shall be allocated between the Head Office and the Group Company in the ratio of headcount (60:40) for HR-related costs, and in the ratio of revenue (65:35) for IT infrastructure and insurance costs, recomputed annually based on audited figures of the preceding financial year.

4. Documentation and Invoicing

The Head Office shall raise a cost-sharing debit note / tax invoice on the Group Company on a quarterly basis, supported by a cost allocation working sheet. Both parties acknowledge that GST implications on such cross-charges shall be assessed independently, having regard to whether the arrangement constitutes a supply under Schedule I of the CGST Act, 2017.

5. Term

This Agreement shall remain in force for three years from the effective date, renewable by mutual written consent.

For Meridian FabTech Industries Pvt Ltd
Arvind Rao Deshmukh, Managing Director

For Meridian Precision Components Pvt Ltd
Authorised Signatory